

MEMORANDUM FOR FILE

SUBJECT: Non-Competitive Procurement Justification Memo for Actions Under SAT

I. BACKGROUND

1. FAR 13.106-1(b)(1)(i) states for purchases not exceeding the simplified acquisition threshold, Contracting Officers may solicit from one source if the Contracting Officer determines that the circumstances of the contract action deem only one source reasonably available.
2. FAR 8.405-6 allows for limiting sources for orders or BPAs under Federal Supply Schedules under certain circumstances or for items peculiar to one manufacturer
3. As required by FAR 13.106-3(b)(3)(i), FAR 8.405-6(a)(1), or FAR 8.405-6(b)(2), this memorandum explains the absence of competition for this acquisition, as only one source will be solicited for this requirement (or for a portion of the requirement) and the requirement is not expected to exceed the simplified acquisition threshold.

II. DESCRIPTION OF ITEM OR SERVICE (Include manufacture/sole source name and address.)

The Naval Surface Warfare Center Carderock is purchasing a software maintenance and technical support contract for its Rockwell Automation software and hardware, via its sole authorized local distributor Rexel (Linthicum, MD). The contract will allow NSWCCD to receive technical software support when issues arrive either via Rockwell Automations website, email, or by phone (24/7/365), and also to upgrade software to the newest version. This will also cover 40 hours of field support, and an established hardware repair allowance. This will be necessary to achieve the IT requirement to use Windows 10, and to have software support for legacy apps on the facility control PCs. Further, it will improve reliability of the facilities and pave the way for further hardware modernization.

The contract will cover seven (7) different software packages and 12 licenses. All of the software is proprietary software from Rockwell Automation for use with Rockwell Automation hardware. The software includes FactoryTalk Studio Suite (including Server, Station, Client, SE and ME), used to create Graphical User Interfaces (GUI) for both PCs and PanelViews at both the LCC in Memphis, TN and West Bethesda Site. RSLogix 5 which is used to program and troubleshoot PLC-5s at that LCC, and RSLogix/Studio 5000 which is used to program ControlLogix and CompactLogix PLCs at both the LCC and West Bethesda. The length of the contract is to be for 1 year of maintenance and support.

Manufacturer: REXEL

Address: 120A SPARKS VALLEY ROAD, SPARKS MD 21152

III. BASIS FOR DETERMINATION FOR USE OF OTHER THAN FULL & OPEN COMPETITION

Only Rockwell Automation, through its local distributor REXEL, can provide reliable technical support for the affected software, as they are the manufacturer. Further, they are the only ones who can “upgrade” licenses. Much of the hardware is in “sunset” and is no longer produced and needs to be repaired by a factory authorized repair facility in order to ensure the repairs meet the manufacturer’s specifications. The only other way that NSWCCD could keep the licenses current is to purchase new licenses for new versions of the software. This would cost the government in excess of \$75,000. Further to obtain the level of support provided as part of this contract NSWCCD would have to pay ala cart for services which requires a lengthy contract process for each instance. This will make the process of maintaining the legacy hardware more efficient and lead to less facility downtime. To use different software would require the government to purchase new software from a different manufacturer, replace existing hardware, and NSWCCD would still require a service and maintenance contract on that software and hardware. Therefore, there is no other practical way for NSWCCD to maintain and support the software currently used to operate, maintain, and troubleshoot the test facilities at West Bethesda or the LCC.

☐ **A. BRAND NAME.** The item required must be a brand name product, or feature of a product, particular to one manufacturer.

☐ **1. Restrictive Rights.** The source has established proprietary rights, limited rights in data, patent rights, copyrights, or secret processes in the item or service required.

☐ **2. Exclusive Licensing Agreements.** The item or service is only available from the Original Equipment Manufacturer (OEM).

☐ **3. Federal Supply Schedule (FSS) IAW FAR 8.405-6(b).**

☐ **4. Other Reasons.**

☒ **B. SOLE SOURCE.** (select all that apply)

☐ **1. Restrictive Rights.** The source has established proprietary rights, limited rights in data, patent rights, copyrights, or secret processes in the item or service required.

☒ **2. Exclusive Licensing Agreements.** The item or service is only available from the Original Equipment Manufacturer (OEM), or there is only one authorized distributor or technical representative for the OEM.

NSWCCD already owns all the software and hardware that will be covered by the maintenance and support contract. That software and hardware was created, or manufactured by, and is only maintained by, Rockwell Automation. The software is used to control, maintain, and troubleshoot associated Rockwell Automation hardware that NSWCCD already owns and operates. According to Rockwell Automation, “As a matter of Company policy, full factory product and sales support is made available only to the local authorized distributor...” NSWCCD knows of no other Manufacturer (Rockwell Automation) who could provide the services and support for the software, and the manufacturer has directed NSWCCD to use the local authorized distributor (Rexel).

☐ **3. Other Reasons.**

☐ **4. Federal Supply Schedules (FSS): IAW FAR 8.405-6(a)(1)**

- ☐ a. An urgent and compelling need exists, and following the procedures would result in unacceptable delays;
- ☐ b. Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized; or
- ☐ c. In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order or BPA must not have been previously issued under sole-source or limited-sources procedures.